



Cambridge IGCSE™

ECONOMICS

0455/12

Paper 1 Multiple Choice

February/March 2025

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



1 What is classed as the factor of production land?

- A an airport
- B a car park
- C a doctor's office

☒ D a forest → A natural resource

→ Natural resource

} Not related to natural resource

2 An economics graduate chooses to work in a bank rather than teach economics which was the next best alternative.

Which cost is incurred as a result of this decision?

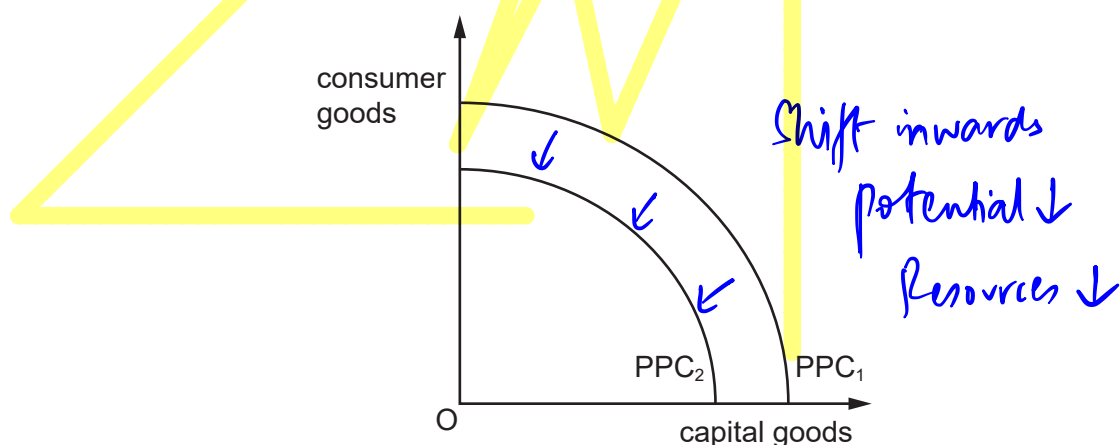
A external cost (cost to the third party)

B internal cost (private cost)

☒ C opportunity cost (Next best alternative)

D private cost (same as option B)

3 The diagram shows an initial production possibility curve of PPC_1 .



What is likely to have caused the movement of the production possibility curve PPC_1 to PPC_2 ?

- ☒ A a decline in non-renewable resources resources ↓ (shift inwards)
- B a decline in the opportunity cost of consumer goods (movement along the curve)
- C an increase in investment Actual ↑
- D an increase in unemployment Actual ↓ (moves towards origin)

Remember :- Actual is point inside PPC.

→ individual / firm / product / market

4 What is an example of microeconomics?

- ✓ A a fall in the cost of growing wheat
 - B a fall in the unemployment rate
 - C an increase in the rate of inflation
 - ↳ D an increase in government spending
- ↳ It is part of AD.

} All macroeconomic concerns, unemployment and inflation are macro issues

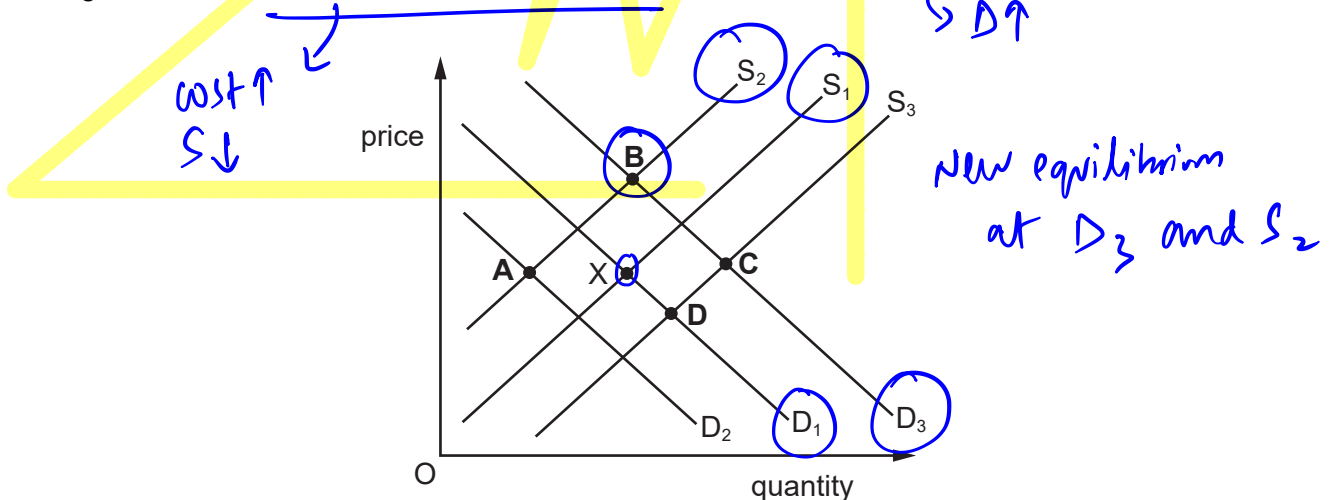
5 There are three key questions to be decided in determining resource allocation within an economy.

What does not relate to one of the choices in the three key questions? *What, How, For whom?*

- A whether all income groups receive the output *For whom*
- B whether consumer or industrial goods are produced *what*
- ✓ C whether economic goods or free goods are supplied
- D whether labour or capital is used in production *How*

6 The diagram shows demand and supply curves for a good. The market is in equilibrium at point X.

What would be the new equilibrium position if there were a successful advertising campaign for the good and an increase in the cost of raw materials?



PED

Elastic

- 7 The price elasticity of demand for smartphones is believed to be -2.0 . A manufacturer decides to cut prices by 10%.

What will be the effect of this change in price?

$P \downarrow (10\%)$ $QD \uparrow$ (more than 10%)
 Substitutes $\uparrow$
 Total revenue $\uparrow$

- A demand will fall by 20% $\propto P \downarrow QD \uparrow$
 B demand will rise by 5% (Inelastic demand)
 C quantity supplied will remain unchanged It's not PES
 ✓ D revenue will increase

Demand and Supply (Price mechanism)

- 8 What is a characteristic of a market economic system?

- A consumers decide whether production is labour-intensive or capital-intensive
 B factors of production are government-owned
 C high levels of government intervention
 ✓ D land and capital are privately owned

No, producer decides.

under planned economy
 under planned economy

yes, private sector.

- 9 A government intends to build a new road through a forest.

What will be an external cost of this? Cost to the third party

- A the cost of building the road private cost
 ✓ B the loss suffered by those who would have used the forest
 C the cost of maintaining the road private cost
 D the new jobs created from the construction of the road private benefit

No compensation to be provided.

State Bank of Pakistan

- 10 Which function does a central bank provide for the general public?

- A accepting deposits
 B issuing banknotes
 C making loans
 D providing overdrafts

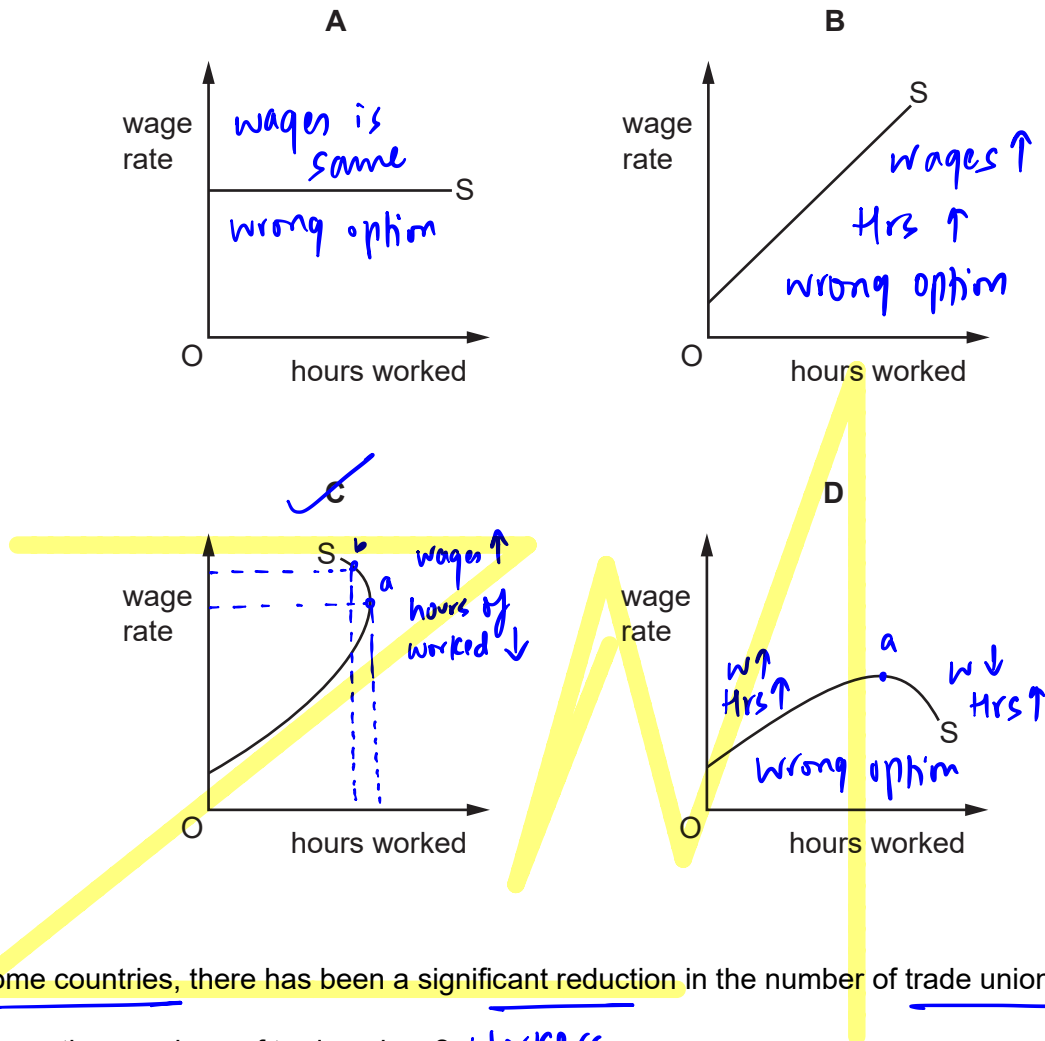
functions of commercial bank

Issues notes/coins, acts as a banker to the government, lender of last resort, controls monetary policy etc.

wage ↑ Hrs of worked ↓

- 11 At higher wage rates an individual prefers to work shorter hours than receive extra income.

Which curve shows this?



- 12 In some countries, there has been a significant reduction in the number of trade union members.

Who are the members of trade unions? workers

- A employers (owners)
B exporters
C importers
✓ D workers
- } unrelated

- 13 What would be most likely to encourage a firm to grow internally?

- A when diseconomies of scale occur at low levels of output average cost ↑ (discourage)
✓ B when economies of scale occur at high levels of output output ↑ average cost ↓ (per unit cost ↓)
C when new firms enter the market and increase competition
D when the firm only supplies the local market

less low barriers to entry, growth at

this fine can incur high cost, tough to survive.

limited market, no point of growth

- 14 A car-wash firm has 3 workers. Before specialisation, each worker washed 5 cars per day. After specialisation, 30 cars per day are washed.

What is the percentage increase in productivity?

A 50%

☒ B 100%

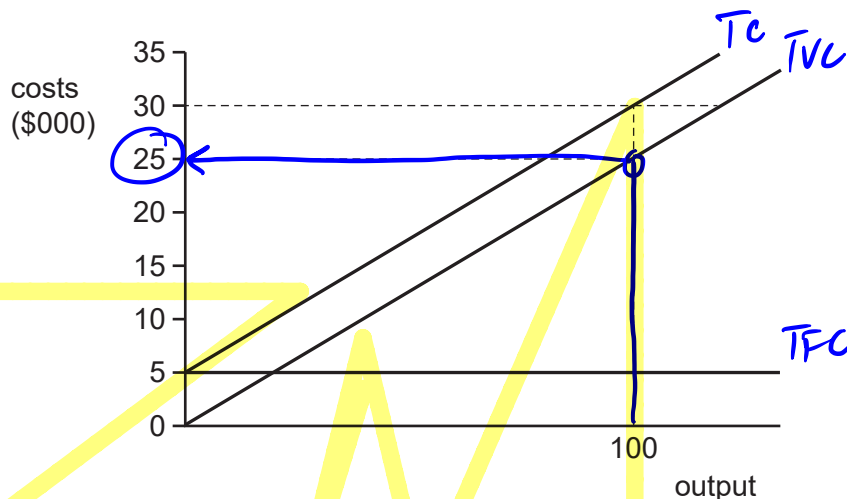
C 200%

D 600%

Total: 15 (old)

$$\% = \frac{\text{new} - \text{old}}{\text{old}} \times 100 = \frac{30 - 15}{15} \times 100 = 100\%$$

- 15 The diagram shows the fixed costs, variable costs and total costs of a firm.



What is the firm's total variable cost at an output of 100 units?

A \$25

B \$5000

☒ C \$25 000

D \$30 000

(Total fixed cost)

(Total cost)

- 16 The table shows the average revenue of a firm at various levels of output.

output	average revenue (\$)
1	10
2	8
3	6
4	4

Total revenue = $P \times Q$

10 ↑
16 ↑ 'Rise then falls'
18 ↓
16 ↓

What happens to total revenue as output rises?

A Total revenue falls and then rises.

B Total revenue falls continuously.

☒ C Total revenue rises and then falls.

D Total revenue rises continuously.

Average = price
revenue
(per unit
revenue)

$$AR = \frac{TR}{Q} = \frac{P \times Q}{Q} = \text{Price}$$

→ difference between government spending and revenue reviewed.

17 What is the definition of a government budget?

- ☒ A a forecast of government spending and revenue for the following financial year
- B an account of government taxation revenues for the current financial year
- C an estimate of government capital spending for the current financial year
- D an explanation of government spending for the following financial year

18 A government decides to increase defence expenditure and reduce direct taxes.

Which type of policy is this?

- A exchange rate policy (Part of monetary)
- ☒ B fiscal policy (Government spending and Taxation)
- C monetary policy (Money supply, interest rate and exchange rate)
- D trade protection policy (Tariff, Quota, embargo, devaluation)

19 Governments use monetary policy such as increasing the rate of interest.

What is a result of increasing the rate of interest?

- A It creates disincentives for wage earners. *demotivate*
- ☒ B It discourages investment by entrepreneurs. → *Interest rate ↑, cost of borrowing ↑, Investment ↓*
- C It reduces the disposable income of consumers.
- D It reduces government transfer payments.

Related to taxation → Related to tax rate

- 20 The table shows the distribution of the working population in millions (m) in various sectors of an economy over two years.

economic sector	year 1 employment (m)	year 2 employment (m)
education	4	3
engineering	6	8
farming (Primary)	2	1
finance	8	6
healthcare	4	5
motor vehicle production	5	5
oil extraction	2	2

Yes, as 6 were employed in year 1 then 8 in year 2.

What can be concluded from the information?

- A Less output was produced in the economy in year 2 than year 1. Data shows employment
- B Fewer people were employed in the secondary sector in year 1 than year 2.
- C More people were employed in the primary sector in year 2 than year 1. (fall from 2 to 1)
- D More people were employed in the tertiary sector in year 2 than year 1.

↳ Drop in finance and education

relocation / area movement

- 21 Which government intervention would increase the geographic mobility of labour?

- A controlling firms locating in areas of low employment
- B giving grants to firms moving into areas of high unemployment
- C providing relocation expenses for workers
- D subsidising declining industries

→ affects 'firms'

→ easier for labours to move to other areas / cities

- 22 Which action by employers is most likely to reduce long-term economic growth?

- A allowing workers time off to attend retraining courses growth ↑ (training → raises potential)
- B encouraging workers to work flexibly in different roles
- C granting workers regular short breaks during the working day productivity
- D replacing skilled workers with semi-skilled workers can increase, but not related to long term growth.

↳ restricts potential growth

different skills
can be learned,
contributing to growth.

proportion of income spent on a commodity / or good. 9

- 23 The table shows the weights attached to various categories of goods in a Consumer Prices Index (CPI) in two years.

CPI category	year 1	year 2
clothing	100	200
food	400	300
energy	100	100
household goods	200	100
motoring	200	300
total	1000	1000

To identify real incomes:
Data of nominal
income and rate
of inflation required

What can be concluded from the table when comparing year 1 and year 2?

- A Real income spent by the average consumer on motoring increased.
- B The cost of producing food has fallen. Data doesn't tell about cost of production
- C The CPI has not changed over the two years. Proportion of income spent is same.
- ☒ D The proportion of income spent on clothing has increased. (That's what weight tells us)

- 24 The table shows the Human Development Index (HDI) values for two countries.

country	HDI value
X	0.90
Y	0.45

Real GNI per head
life expectancy
Education
(Literacy rate)

What might explain the difference in the HDI values?

- A Country X has double the inflation rate of country Y. Then HDI would have been lower
- B Country X has half the population of country Y.
- C Country X spends more of its real GDP on foreign aid than country Y. NOT contributing to HDI
- ☒ D Country X spends more of its real GDP on schooling than country Y.

Higher spending on
education, HDI value
higher in country X.

Education

*Tikhi wage honi chahiye vs se
kum hai, poor are not better off.*

25 Wealthy countries have people who live in relative poverty.

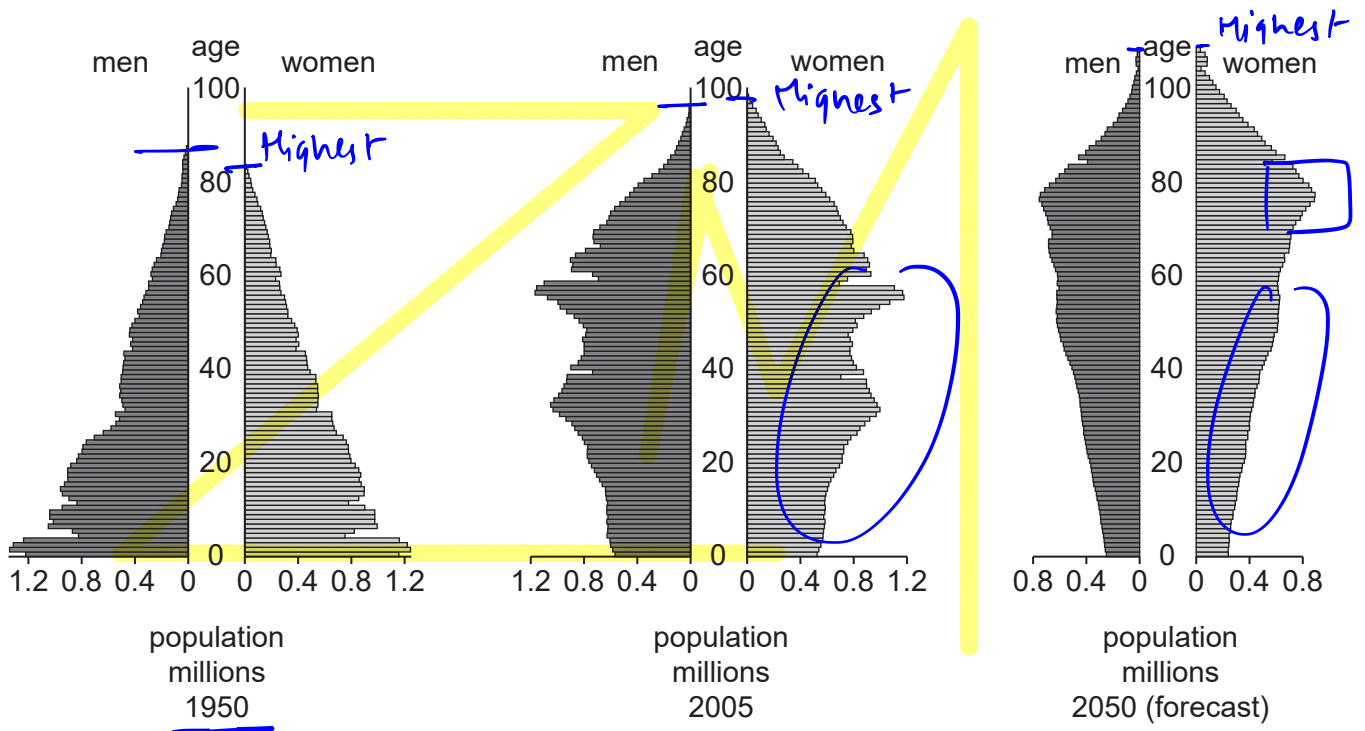
What is the most likely cause of this?

- A generous state pensions
- B low national minimum wage
- C progressive taxation
- D subsidised healthcare

These policies will reduce poverty

Imposed on rich, then forwarded ahead in form of unemployment benefits and pensions

26 The diagram shows population data for a country for 1950, 2005 and 2050.



What can be concluded from the diagram?

- A Men outnumber women in each year. *No, see the box*
- B People are living longer over the period. *Yes, exceeding 100.*
- C The population has grown continuously. *No, see the circle*
- D The workforce has grown continuously.

Data is of population not workforce

free trade represents specialization

Because to gain the benefits of diversification free trade, you need to specialise.

- 27 A country has large reserves of oil. It decides to produce a wide range of goods rather than specialise in oil production.

What is **not** an acceptable reason in support of this decision?

- A Oil is a non-renewable resource that could be exhausted quickly. *Good reason*
- B Producing a wide range of goods increases the benefits from free trade. *not a valid reason*
- C Relying on other countries for vital goods and services makes a country vulnerable. *Good reason*
- D The price of oil is volatile, making export revenue unstable. *Good reason*

price $\uparrow/\downarrow \rightarrow$ can affect revenue

- 28 The US puts a 25% tariff on Chinese steel to protect jobs in the US steel industry.

Under which condition would this policy be most effective?

- A The price elasticity of demand for Chinese steel is -2.5 .
- B The price elasticity of demand for Chinese steel is -0.5 .
- C The price elasticity of supply for Chinese steel is 2.5 .
- D The price elasticity of supply for Chinese steel is zero.

Elastic, Import price $\uparrow$ (25%),
Quantity $\downarrow$ (more than 25%),
Switch to domestic industry
makes it inelastic.

not related to PES

- 29 What might a central bank do to stop a fall in the value of its country's currency?

- A raise interest rates, Interest rate $\uparrow$, FDI $\uparrow$, Demand $\uparrow$, value $\uparrow$
- B reduce taxes on imports, price $\downarrow$, quantity $\uparrow$, Supply $\uparrow$, value $\downarrow$
- C remove controls on currency outflows, more outflows, Supply $\uparrow$, value $\downarrow$
- D sell their currency on the foreign exchange market $\rightarrow$ sell, Supply $\uparrow$, value $\downarrow$

Inflows > outflows (Target: Inflows $\downarrow$, outflows $\uparrow$)

- 30 A government wishes to reduce the surplus on the current account of its balance of payments.

Which policy is likely to achieve this?

- A cutting government spending $G \downarrow$, incomes generated $\downarrow$, Imports $\downarrow$, outflows $\downarrow$
- B devaluing its currency, X prices $\downarrow$, M prices $\uparrow$, trade surplus
- C increasing existing import quotas, e.g. 50 cars allowed, now: 60 cars allowed, Imports $\uparrow$, outflows $\uparrow$
- D increasing import duties tariff, M prices $\uparrow$, outflows $\downarrow$

expenditure reducing policy

BLANK PAGE

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (UCLES) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in the Cambridge Assessment International Education Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cambridgeinternational.org after the live examination series.

Cambridge Assessment International Education is part of Cambridge Assessment. Cambridge Assessment is the brand name of the University of Cambridge Local Examinations Syndicate (UCLES), which is a department of the University of Cambridge.